EAS5450 – Class #14(b)

Penn Engineering

Evaluating Venture Capital Term Sheets

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WALNUT Venture Associates

Investment Process

Pre-Screening
- Geography
- Industry
- Potential For High Returns
- Initial Assessment of Business Idea/Model
- Initial Assessment of Entrepreneur
- Initial Assessment of Management Team

Tuesday Presentation
- 30 Minute Presentation to Walnut Group
  - 15 Min. Presentation
  - 15 Min. Q&A
- Problem Solved
- Market Size/Growth
- Solution
- Initial Markets and/or Customers
- Team Track Record
- Business Model
- Capital Needs and Milestones
  - Now
  - Next Rounds

Due Diligence
- Follow-up Meeting: Meet with Key Management at Company Office
- Thorough Due Diligence
  - Personal References
  - Customer References
  - Competitive Assessment
  - Financial Review
- Negotiate Term Sheet

Investment and Support
- Board Seat
- Refine your business plan
- Help Recruit Key Management
- Introduce Company to Sources of Follow-on Financing
- Guidance on Financial Strategy
- Make key contacts for strategic partnerships
- Configure the company for an IPO or being acquired

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In the Tuesday Meeting, the Company Should Concisely Cover, in 15 Minutes, the Key Areas that will Drive the Company's Success; Allow 15 Minutes for Q&A

Introduction and Concept
- Elevator Pitch- Briefly tell us what important problem you solve and how you will make money
- Concept- Describe the product or service you will offer and how it solves an important problem

Markets and Customers
- Demonstrate there is a rapidly growing market and briefly describe one or two driving forces
- Customers: Who will buy this and what is it worth to them?
- How will you reach/sell to the customers?

Management Team
- Tell us why your team can execute and win
  - Relevant industry experience
  - Customer knowledge/contacts
  - Technology expertise
  - Company/organization building skills
  - Other experience or skills you will need to bring in

Competition
- What are the alternative ways of solving the problem?
  - Who are the competitors?
- How does your offering differ from the others?
- Tell us why and how you can win

Finances and Capital Needs
- Show high level revenues and costs, and include the major driving assumptions of your business model
- Tell us how much total capital you will need to achieve cash flow breakeven and profitability; and when you will need these financing rounds over time
- How much capital do you need for this financing and what do you feel is the valuation of you company
- How will investors exit?
  - IPO-why is this a good company for an IPO
  - Being acquired- who would buy and why

Other
- Are there any crucial alliances required to execute the business model such as distribution or technology?

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WALNUT
Venture Associates

During Due Diligence, We Assess the Key Elements of the Business to Decide Whether to Invest and with Which Terms

1. Market, Customers, Sales

Documents
- Business plan
- Sales Pipeline Documents - Prospects, revenue projections, probability

Interviews
- Customer references: validate need, willingness to pay, comments on competition, impression of the team
- Current, prospective and rejected channel partners references
- Industry experts

Assessment
- Growth and size of market
- Initial customers
- Sales cycle: revenue velocity
- Distribution channel: motivated

2. Produce/Service Offering

Documents
- Business plan, marketing literature

Interviews
- Alliance partners
- Customers- functionality

Assessment- Technical Assessment & Demo

3. Management Team

Documents- Full resumes

Interviews
- Reference checks on top management

Assessment
- Work with them to see leadership, coachability, commitment
- Weaknesses or gaps in the team
- Are they finaceable by VCs?

Due Diligence

4. Competition

Documents
- Business plan

Interviews
- Customer & Alliance references and industry experts; discuss competition

Assessment
- Assess threats of players to company; positioning, strength, focus, lead-time, financing, management team
-

5. Financials

Documents
- Revenue and costs going forward with driving assumptions
- Cash flow- past and future
- Equity ownership table
- Options plan
- Capitalization plan with milestones
- Financing history with valuations

Interviews
- Discuss business model assumptions, costs, hiring with management

Assessment
- Valuation for this round
- Follow-on capital needs and likely sources
  - Milestones and valuations
- Robustness of business model; sensitivity to driving assumptions
- Straightforward capital structure
- Previous investors
- Realistic path to exit

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Presenting to Investors

- Evaluate potential investors:
  - What comes with the money?
- Position the plan to fit investors' objectives.
- Be recommended by someone investors trust.

… because it's all about RELATIONSHIPS and TRUST!

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The Initial Meeting

- Know your Elevator Pitch
  - Clear, concise, compelling
- Answer the 3 basic questions:
  - Why will customers want your product?
  - How will you deliver it?
  - How does your company make money?
- Don't use wordy PowerPoints
- Avoid
  - Technical jargon (use analogies instead)
  - Sales pitch

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"People will adopt a point of view more readily when they are allowed to arrive at it themselves, than when they are told."

Benjamin Franklin

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Designing the 15-minute Pitch

The ordering of the sections was fairly standard, except for the team page. This page appeared either at the beginning or the end, but never in the middle. Within the 200 companies we studied, more companies placed the page at the end and not the beginning. This practice is in line with advice from Reid Hoffman, who advises companies to lead with their investment thesis, not a team page.

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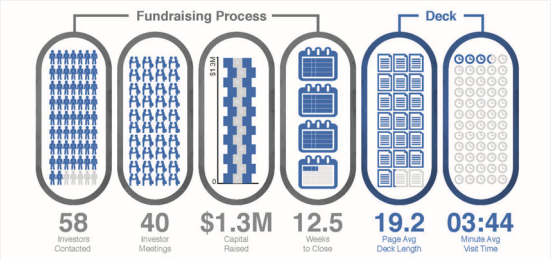
An Average Series Seed Raise



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Term Sheet

- **Provided by an interested investor to the entrepreneur.**
- **Not a legally binding contract.**
  - Outlines the terms for an eventual legally binding definitive agreement.
  - Contingent upon due diligence.
- **An agreement to negotiate in good faith.**
  - Often provides for a "standstill" period of exclusivity.

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3 "Hot" Provisions

- **Valuation (Pricing)**
- **Governance:**
  The Golden Rule
  - Voting rights
  - Board seats
  - Committees
  - Protective provisions
- **Capital Structure**
  - Type of security
  - Liquidation preferences
  - Conversion rights
  - Dividend preferences
  - Redemption rights
  - Anti-dilution provisions

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Anti-Dilution: Full Ratchet

1. Founders: 2,000,000 Shrs
2. Investor #1: $4,000,000 = 1,000,000 Shrs @ $4/Shr
3. Investor #2 down-round: $2/Shr
4. Investor #1 re-priced @ $2/Shr:

$$\frac{\$4{,}000{,}000}{\$2/\text{Shr}} = 2{,}000{,}000 \text{ Shrs}$$

➡ **+ 1,000,000 Shrs for Investor #1**

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Anti-Dilution: Weighted Ratchet

1. Founders: 2,000,000 Shrs
2. Investor #1: $4,000,000 = 1,000,000 Shrs @ $4/Shr
3. Investor #2: $1,200,000 = 600,000 Shrs @ $2/Shr
4. Investor #1 re-priced:

$$P_{1,New} = P_{1,Old} \times \left[\frac{(\text{Old Shrs}) + \left(\frac{\text{Investment}_2}{P_{1,Old}}\right)}{(\text{Old Shrs}) + \left(\frac{\text{Investment}_2}{P_2}\right)}\right] = P_{1,Old} \times \left[\frac{\text{Total shares after \#2 if priced at } P_{1,Old}}{\text{Total shares after \#2 if priced at } P_2}\right]$$

$$P_{1,New} = \$4 \times \left[\frac{3{,}000{,}000 + \left(\frac{\$1{,}200{,}000}{\$4}\right)}{3{,}000{,}000 + \left(\frac{\$1{,}200{,}000}{\$2}\right)}\right] = \$3.67$$

$$\boxed{\frac{\$4{,}000{,}000}{\$3.67\,/\,\text{Shr}} = 1{,}090{,}000 \text{ Shrs}}$$

➡ **+ 90,000 Shrs for Investor #1**

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Provisions Affecting Founder's Position

- **Vesting**
- **Performance/Forfeiture**
- **Employment Contracts**
  - Non-compete
  - Severance/termination
- **Shareholder Agreements**
  - New issue restrictions
  - Sale restrictions

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Information Provisions

- **Disclosure**
  - Representations & warranties
- **Information Rights**
  - Financial records & statements
  - Business plans
  - Inspection & visitation rights

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Cashing Out Provisions

- **Co-Sale**
- **Right of First Refusal**
  - Future investment rounds
  - Other shareholder's sale of stock
- **Drag Along Rights**
- **Registration Rights**
  - "Piggy-Back"
  - Demand rights
  - Frequency, timing and expense
- **Liquidation/Acquisition/Merger**

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Other Provisions

- **Key Man Insurance**
  - Company pays
  - Investors benefit
- **Conditions Precedent**

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Key Man Insurance Example

"Life Insurance Policy" means the policy of life insurance issued to the Company by The Manufacturers Life Insurance Company of America covering the life of Thomas A.V. Cassel in the face amount of $5,000,000.

Section 5.8 LIFE INSURANCE POLICY. The Company shall pay all premiums when due on the Life Insurance Policy and promptly notify the Bank in writing of the death of any individual covered by a Life Insurance Policy; in the event of the death of any such individual, regardless of whether an Event of Default shall have occurred and be continuing, the Company agrees that the Bank may, upon three (3) Business Days' prior written notice to the Company, apply the proceeds of such Life Insurance Policy as a prepayment of the Loans and any and all other amounts payable hereunder in such order of priority as the Bank may determine in its discretion.

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Evaluating Venture Capital Term Sheets

Universal MobileApps, Inc.

John Stevens & Edward Lopez, Co-Founders

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TOP GUN

- Series A Preferred
- $4,000,000
- 100% Top Gun
- $9,000,000 post-money valuation
- 25% employee option pool (post-closing)
- Price: $1.00/share
- Weighted ratchet anti-dilution
- Dividend: 8% p.a.
- 1 of 3 board seats
- Founder vesting: ?
- Pay to play: no
- Fees for diligence: up to $30,000
- Key person insurance: No

RED BARON

- Series A Preferred
- $6,000,000
- Split round: 50% Red Baron, 50% other (?)
- $12,000,000 post-money valuation
- 15% employee option pool (post-closing)
- Price: $1.00/share
- Full ratchet anti-dilution
- Dividend: ?
- 2 of 3 board seats
- Founder vesting: 4 years
- Pay to play: yes
- Fees for diligence: up to $40,000
- Key person insurance: Yes

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ANGEL ROUND

Principal	$300,000
Interest	10%
Discount	10%
Valuation Cap	$5,000,000
Amount Converted	$330,000
Pre-Money Valuation	$5,000,000
Conversion Price With Cap	$1.00
Conversion Price Without Cap	$0.90
Angel Conversion Price	$0.90
VC Price per Share	$1.00
Angel Shares (Fully Diluted)	366,667

SERIES A TERMS

$4,000,000 raised
$1.00/share
$9,000,000 post-money val'n
25% option pool

Top Gun Capitalization Table

Conversion Price = Lesser of:
a) 90% of Series A Price = $0.90/Shr, or
b) $5M Val'n Cap / Series A Pre-Money Val'n = $5M / $5M = $1/Shr

Angel Shares = $330,000 / $0.90/Shr = 366,667 Shrs

Total Shares Issued = Post-Money Val'n / Price/Shr = $9M / $1/Shr = 9M shares

SHAREHOLDER	Common Shares	Common Options	Series A Shares	Fully-Diluted Shares	Fully-Diluted Ownership
Founders	2,383,333			2,383,333	26.48%
Angel Investors	36,667		330,000	366,667	4.07%
Available Options		2,250,000		2,250,000	25.00%
VC Investor			4,000,000	4,000,000	44.44%
Total	**2,420,000**	**2,250,000**	**4,330,000**	**9,000,000**	**100.00%**

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Red Baron Capitalization Table

ANGEL ROUND

Principal	$300,000
Interest	10%
Discount	10%
Valuation Cap	$5,000,000
Amount Converted	$330,000
Pre-Money Valuation	$6,000,000
Conversion Price With Cap	$0.83
Conversion Price Without Cap	$0.90
Angel Conversion Price	$0.83
VC Price per Share	$1.00
Angel Shares (Fully Diluted)	396,000

SERIES A TERMS
$6,000,000 raised
$1.00/share
$12,000,000 post-money val'n
15% option pool

Conversion Price = Lesser of:
a) 90% of Series A Price = $0.90/Shr, or
b) $5M Val'n Cap / Series A Pre-Money Val'n = $5M / $6M = $0.83/Shr

Angel Shares = $330,000 / $0.83/Shr = 396,000 Shrs

Total Shares Issued = Post-Money Val'n / Price/Shr = $12M / $1/Shr = 12M shares

SHAREHOLDER	Common Shares	Common Options	Series A Shares	Fully-Diluted Shares	Fully-Diluted Ownership
Founders	3,804,000			3,804,000	31.70%
Angel Investors	66,000		330,000	396,000	3.30%
Available Options		1,800,000		1,800,000	15.00%
VC Investors			6,000,000	6,000,000	50.00%
Total	**3,870,000**	**1,800,000**	**6,330,000**	**12,000,000**	**100.00%**

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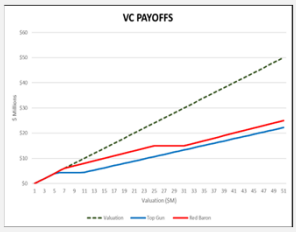

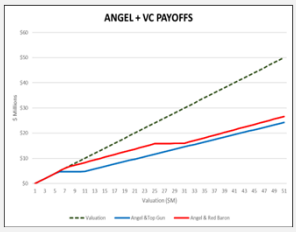

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Evaluating Term Sheets

	Top Gun	Red Baron
Investment	$4,000,000	$6,000,000
Split Round?	No	Half the Investment
Valuation	$5M Pre-Money	$6M Pre-Money
Governance	1 of 3 Board Seats	2 of 3 Board Seats
Security Type	Preferred	Participating (2.5X)
Employee Stock Options	25%	15%
Investors' Equity Share*	48.5%	53.3%
Founders' Equity Share	26.5%	31.7%
Anti-Dilution	Weighted Average	Full Ratchet
Founder Vesting	---	4 Years
Pay To Play	No	Yes
Fees	Up to $30,000	Up to $40,000
Key Person Insurance	No	Yes
What Comes With the Money	Relevant Experience	Young Firm

*Angel + VC Equity

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